

Authority for Personal Data
 P.O. Box 93374, 2509 AJ The Hague
 Hoge Nieuwstraat 8, 2514 EL The Hague
 T 070 8888 500 - F 070 8888 501
 autoriteitpersoonsgegevens.nl
 The State Secretary for Finance - Taxation and Tax Administration
 P.O. Box 20201
 2500 EE THE HAGUE
 Date

August 29, 2023

Our reference

z2023-02984

Your letter dated

August 10, 2023

Contact person

Your reference

2023-0000181848

Subject

Advice on the draft Compensation Act at the Gate.

Dear Mr. Van Rij,

In your letter dated August 10, 2023, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, fourth paragraph, of the General Data Protection Regulation (GDPR) regarding the draft bill for the Compensation Act due to selection at the gate (hereinafter: the draft).

Assessment of the personal data aspects of the draft gives the AP reason to make several comments.

Scope of the draft

The draft creates the basis for a compensation scheme for a specific group of taxpayers. It concerns taxpayers who have been selected by the tax administration through the selection process known as "Detection and Selection at the Gate." ¹ This selection process could result in taxpayers being selected - due to a potentially increased risk of systemic fraud - to be subjected to intensive supervision without any fiscally relevant consideration.² A selection of a tax return as a result of this selection process could also have led (until early 2018) to a mention in the Fraud Detection Provision (FDP). To the extent that these taxpayers have been (wrongly) assessed higher as a result or a correction of the assessment has taken place, they may be eligible for compensation. To this end, a

¹ This concerns income tax returns and premiums for national insurance for the years 2012-2019.

² Selection criteria must be relevant, suitable, and objectively justified when it comes to levying and collecting income tax (cf. Article 2, first paragraph, introductory phrase, part d, of the draft). Selection must not take place based on characteristics of the taxpayer that are (fiscally) irrelevant, such as nationality and age (cf. introduction and paragraph 2.1 of the explanatory memorandum of the draft).

Date

00 month year

Our reference

z20xx-xxx

2/3

reassessment of the declaration of the relevant taxpayer must take place. Within this context, personal data is processed, which may also involve special personal data and personal data of a criminal nature. To this end, the FSV is consulted.³

Advice

Special personal data and personal data of a criminal nature

In the explanatory memorandum accompanying the draft, it is noted in paragraph 9 (data processing) that for the assessment of whether someone is eligible for compensation, in addition to ordinary personal data (name, address, city data), special personal data (may) also be processed.

For the processing of special personal data, there is a processing prohibition unless one of the exceptions in Article 9 GDPR applies and a processing basis as referred to in Article 6 GDPR. The necessity for processing personal data with this special, extra sensitive character must be carefully weighed for the relevant purpose. It is therefore important that the legislator provides clarity in legal texts and explanations regarding the nature of the processing for which a legal basis is provided and justifies its legitimacy. Where it does not follow as a matter of course from the legal provisions themselves, when viewed in context, that the intention is also to enable the processing of special personal data or data of a criminal nature, it is reasonable to clarify this by including an explicit provision. The same applies to personal data of a criminal nature, as an adequate explanation without addressing the criminal nature of the data in light of Article 10 of the GDPR is not easily conceivable.

The AP advises to explicitly state in the legal text that the inspector⁴ is authorized to process special personal data and personal data of a criminal nature and to indicate in the explanation which exception to the principle prohibition on processing special personal data is relevant, why this is the case, and to specify as concretely and exhaustively as possible which special personal data this may involve and where that data originates from. Regarding the processing of personal data of a criminal nature, the AP advises similarly.⁵ To the extent that 'ordinary' personal data is processed, these should also be named as concretely and exhaustively as possible in the explanation.

Processing basis

In the explanation accompanying the draft⁶, it states that Article 6, first paragraph, part c, GDPR (legal obligation) is the processing basis for the relevant processing. In footnote 14 of the explanation - without further explanation - reference is made to Article 13 ECHR and Article 82 GDPR. The DPIA (not part of the draft) does contain an explanation. It amounts to the fact that Article 13 ECHR⁷ establishes a right to an effective remedy and that Article 82 GDPR grants the right to compensation if a breach of the GDPR has occurred.

To implement the aforementioned provisions, the FSV will be consulted and personal data included therein will also be processed. Thus, as understood by the AP, there would be a legal obligation to process that data, and Article 6, first paragraph, part c, GDPR forms the processing basis for the present draft.⁹

With the present draft, it is intended to accommodate taxpayers because they have been selected for intensive supervision for an illegitimate reason and as a result have been assessed higher. The processing of (special) personal data from the FSV for this purpose can, in the opinion of the AP, be considered as falling within the realm of correct tax collection and thus as a necessary processing for the fulfillment of a task of general interest.

The AP advises to include Article 6, first paragraph, introductory part, part e, GDPR as a processing basis in the explanation.

Workload of the AP

The AP notes that the draft is not expected to require additional effort from the AP.

Disclosure

This advice will be published on the AP's website within two weeks.

Yours sincerely,

Dutch Data Protection Authority,

Aleid Wolfsen

Chairman

⁸ As a result of a violation of the right to privacy under Article 8 ECHR.

⁹ See p. 13, 14, and 16 of the DPIA.